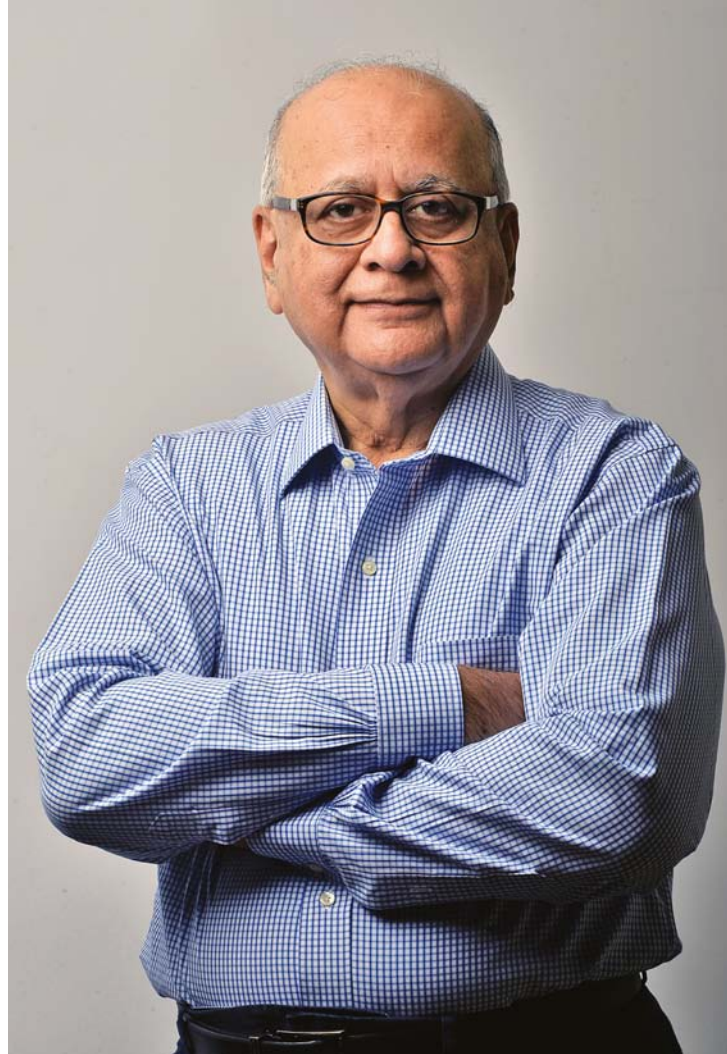


Organic Growth

Yogesh M. Kothari, the CMD of Alkyl Amines Chemicals, has achieved consistent growth for his company over the past 10 years

By **Rahul Oberoi**



ON TARGET Yogesh M. Kothari, CMD, Alkyl Amines Chemicals

► **YOGESH M. KOTHARI**, the Chairman and Managing Director of Alkyl Amines Chemicals, was a keen cricket player in his younger days. Today he is busy hitting boundaries, albeit in business. He has achieved consistent growth for his company over the past 10 years, featuring him in the *BT-PwC* India's Best CEOs ranking. The net profit of the company grew at a CAGR of nearly 40 per cent to ₹295.34 crore in FY21 against ₹10.37 crore in FY11. On the other hand, gross sales increased at a CAGR of 18.28 per cent to ₹1,242.44 crore during the same period. At present, the company generates 85-90 per cent revenue from the domestic market.

So, what has worked for the company? Kothari says that continuous capacity expansion and a better product mix helped Alkyl Amines Chemicals improve yield and profitability. Over the years, return on equity jumped to 44.60 per cent for the year ended March 31, 2021, from 13.10 per cent in 2010-11. On the other hand, the debt-to-equity ratio, which evaluates a company's financial leverage, moved down from 1.43 times to 0.06 times. A ratio of less than 1 implies that the assets are financed mainly through equity.

However, the rise in raw material prices in the last quarter ended December 31, 2021, has hit the bottom line of the company. The net profit of the company declined 45.69 per cent YoY to ₹45.88 crore in Q3FY22

Key Highlights

- ① Alkyl Amines is a global supplier of amines and amine-based chemicals
- ② Net profit grew at a CAGR of nearly 40 per cent in the past 10 years
- ③ Gross sales soared to ₹1,242 crore in FY21 from ₹231.84 crore in FY11
- ④ Rising input costs dragged down profit after tax by 45.69 per cent in Q3FY22
- ⑤ The stock rallied 19,844 per cent to ₹3,061.45 on February 15, 2022, from ₹15.35 on February 15, 2011
- ⑥ Company garners 85-90% revenue from the domestic market

PHOTO BY MILIND SHELTE